ESG **56/100** AVERAGE

START-UP NOTE · SOFTWARE AND AI · 6 NOVEMBER 2026

Lovable

Private company · Stockholm, Sweden · Founded 2023 · AI app-building platform

The fastest-growing European software company ever, now at a $600m run-rate. At 22 times that figure, the August round already prices in most of a very good outcome.

VALUATION VIEW

Stretched

Our fair value	$11.1bn
Last round (Aug 2026)	$13.3bn post-money
Gap	−17%
Post-money / run-rate	22x

01 Thesis and valuation view

We rate Lovable's latest valuation as STRETCHED, but only just: our probability-weighted fair value is $11.1bn, 17% below the $13.3bn post-money of the August 2026 Series C. The company is real and growing at a pace that few software firms have ever matched. Its run-rate went from about $200m in December 2025 to more than $600m in September 2026. But the round values it at 22 times that run-rate, while listed software groups trade at 2 to 14 times revenue. To earn a 20% return, Lovable must reach about $6.3bn of revenue by 2031 at a 6x exit multiple, ten times today's level.

Three points

- **Growth is exceptional.** The company says its run-rate passed $600m in September, up from about $500m in June and about $200m a year earlier according to press reports. That is a tripling in under a year, at a size where most software firms slow down.
- **The price already assumes a leader's outcome.** Our base case has revenue of $3.5bn in 2031. At a 6x exit multiple and a 20% required return, that is worth $7.4bn today. Only our bull case, $7bn of revenue, gives more than the round price.
- **The moat is untested.** Lovable routes work across more than 100 AI models. That keeps costs down, but the same models are sold by Anthropic, OpenAI and Google, which also build coding products. A SpaceX purchase of the rival Cursor for a reported $60bn shows how fast this market consolidates.

> WHAT WOULD MAKE US WRONG
>
> The verdict is close to our 15% threshold, so small changes matter. If exit revenue is 10% higher in every scenario, our fair value moves to about $11.7bn, and a required return of 17.5% gives about $11.9bn. Either is within 15% of the round, and the verdict would become FULL. A second risk is scarcity: Lovable is one of the first holdings of the EU-backed Scaleup Europe Fund, and public investors have few such assets to buy. A strategic buyer could pay a premium.

INDICATOR	VALUE	COMMENT
Post-money valuation	$13.3bn	Series C, 12 August 2026
Post-money / run-rate	22x	on $600m, September 2026
Post-money / 2026E revenue	32x	on our $420m estimate of recognised revenue
Valuation growth since Series B	2.0x	from $6.6bn (December 2025)
Listed software, upper quartile	12.2x	EV / sales of six listed peers

Lovable does not publish accounts. Run-rate figures are company statements. Revenue 2026E and everything after it is a Puccetti Capital Research estimate and should be read as an order of magnitude.

02 The surprise: valuation doubled in eight months, then revenue beat the plan

On 12 August 2026 Lovable announced a $400m Series C at a $13.3bn post-money valuation. The Wall Street Journal had reported talks a week earlier at

$300m and $13.2bn, so the round closed $100m above the first report. Menlo Ventures and the Scaleup Europe Fund, an EU-backed vehicle managed by EQT, co-led. Balderton, Carmignac, Kaszek, LTS Growth, Tencent, World Innovation Lab and Regent joined, and Accel, Antler, CapitalG, DST, HubSpot Ventures and Salesforce Ventures returned.

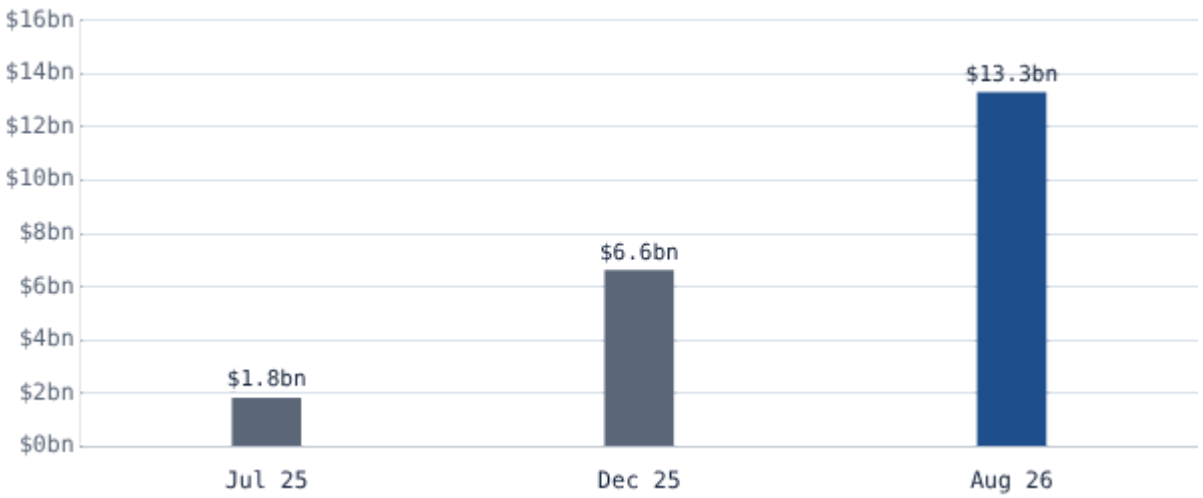
The previous round, a $330m Series B in December 2025, valued the company at $6.6bn. The new price is double that, eight months later. On 24 September, at the HumanX conference in Amsterdam, co-founder Fabian Hedin said the run-rate had passed $600m. In August the company had only said it was on track for close to $600m by the end of the month, so the claim was met or slightly beaten. He added that employees at about two-thirds of the Fortune 500 use the product. The company later clarified that this counts sign-ups with corporate email addresses, not signed contracts.

What stands out is the contrast with the rest of the market. Large coding-tool buyers are paying very high prices: Replit reached $9bn in March and Cursor was sold for a reported $60bn. Listed software, in contrast, trades at low multiples. Lovable's round sits well above that market.

03 Funding and valuation history

DATE	ROUND	RAISED	VALUATION
Oct 2024	Pre-seed	$7.5m	n/d
Feb 2025	Pre-Series A (Creandum)	$15m	n/d
Jul 2025	Series A (Accel)	$200m	$1.8bn
Dec 2025	Series B (CapitalG, Menlo)	$330m	$6.6bn
Aug 2026	**Series C (Menlo, Scaleup Europe Fund)**	**$400m**	**$13.3bn**

Exhibit 1 **Post-money valuation by round ($bn)**



The company has raised about $0.95bn in total. Sources disagree on the labels of the two smallest rounds: one calls the $15m round a seed, another a pre-Series A. One tracker also shows an extra round in February 2026 at $2.8bn, which does not match any other source, and we ignore it. The valuations for the last three rounds are consistent across several outlets. Valuation has risen 7.4 times in 13 months.

n/d: not disclosed. Series B total is $330m in most sources; one reports $300m. We use $330m.

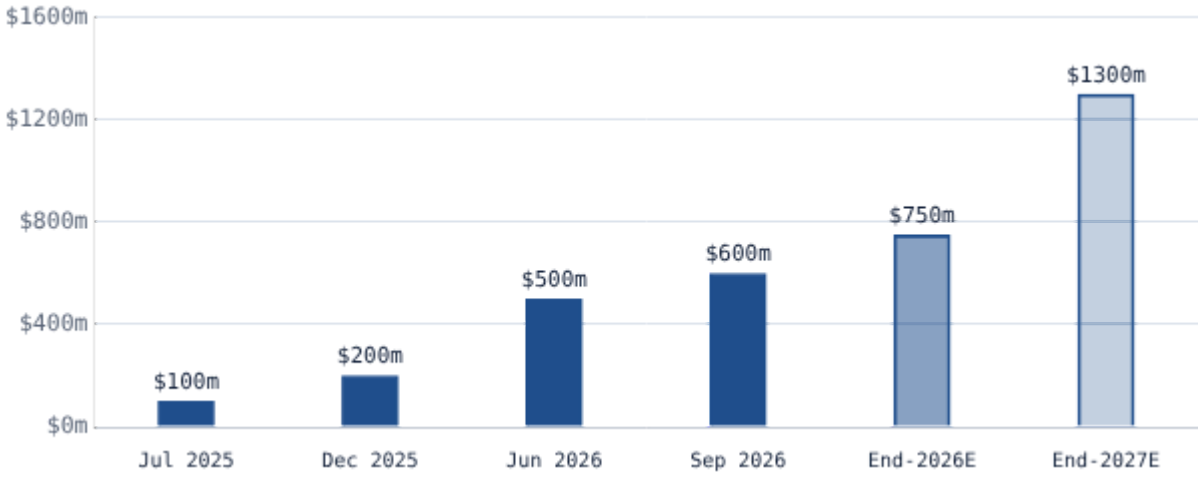
04 Business model and revenue

Lovable grew out of an open-source project called GPT Engineer, started in Stockholm by Anton Osika, who is chief executive, and Fabian Hedin, who is chief technology officer. The company launched its current product at the end of 2024. Users describe an application in plain language and the platform builds the code, the database and the hosting. The company says users have created more than 60 million projects, about 1.2 million new ones each week, and that the apps get about 900 million visits a month.

Revenue comes from subscriptions. List prices are €25 a month for Pro and €50 a month for Business, with custom prices for large groups. Customers named by the company include Nvidia, Adidas, Zendesk and Deutsche Telekom, where staff have built over 2,000 internal apps. Rivals are the coding tools of Anthropic, OpenAI and Google, and start-ups such as Replit and Cursor.

Lovable said it was profitable before the Series C and is now spending on product, security and expansion into Latin America. We could not find figures on gross margin, which depends on the cost of AI models, nor on cash. Headcount is planned to rise 50% to 450 this year.

Exhibit 2 **Run-rate revenue ($m)**



Jul 2025, Dec 2025: press reports. Jun and Sep 2026: company. End-2026E and end-2027E: Puccetti Capital Research estimates, shaded.

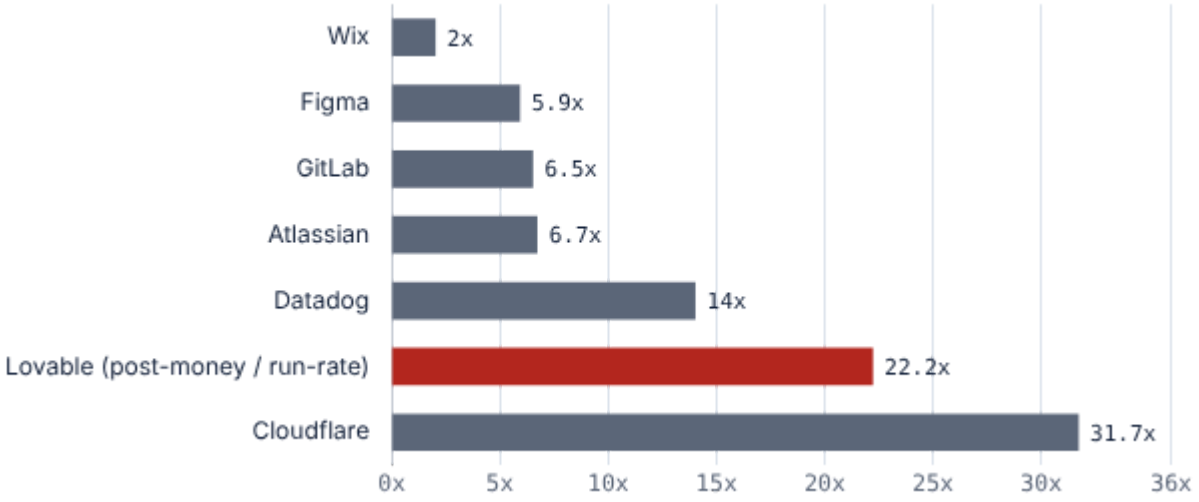
The run-rate figures are not audited and press reports vary on the earliest points. One outlet cites $400m in March 2026; the company's own statements point to about $500m in June. We read the trend as a rise of $100m about every three months in 2026. We assume the pace slows: $750m at the end of 2026 and $1.3bn at the end of 2027. Recognised revenue is lower than run-rate, so we estimate about $420m for 2026.

05 Listed comparables

No listed company matches Lovable. We use six listed software groups: design and developer tools (Figma, Atlassian, GitLab), website building (Wix) and the two fastest-growing infrastructure names (Datadog, Cloudflare).

COMPANY	EV / SALES (LTM)	REVENUE LTM	3-YR GROWTH FORECAST
Cloudflare	31.7x	$2.7bn	30.2%
Datadog	14.0x	$4.3bn	25.5%
Atlassian	6.7x	$6.9bn	14.9%
GitLab	6.5x	$1.1bn	16.9%
Figma	5.9x	$1.4bn	29.3%
Wix	2.0x	$2.1bn	12.0%
Median	**6.6x**		
Upper quartile	**12.2x**		
Lovable at $13.3bn	**22x run-rate**	**$0.6bn run-rate**	**≈100%+**

Exhibit 3 **EV / Sales of listed peers against Lovable's post-money (x)**



Lovable grows several times faster than these groups, so it deserves a premium. We apply the upper quartile, 12.2x, to the run-rate we expect at the end of 2027, $1.3bn. That gives $15.8bn in a year, or $13.2bn today after discounting at 20%. The median of 6.6x gives $7.2bn, our low case. Datadog's 14.0x gives $15.1bn, our high case. We leave Cloudflare out of the high case because its 31.7x reflects network infrastructure, not applications. The upper quartile is itself pulled up by Cloudflare. We give this method 40% of our fair value.

StockAnalysis, 6 November 2026. Enterprise value divided by revenue of the last twelve months.

06 Main model: venture capital method

The VC method estimates what the company could be worth at exit in five years, then discounts that value at the return a late-stage investor requires. We use

20%, the low end of the 20-30% range for loss-making companies, because Lovable says it was profitable and has strong growth. We assume 12% dilution from future rounds and employee options. Our discount factor is therefore 0.88 / 1.20^5 = 0.354.

SCENARIO	REVENUE 2031	EXIT EV/SALES	EXIT VALUE	VALUE TODAY	PROBABILITY
Bear: frontier labs and Cursor take the market, growth fades	$1.2bn	4x	$4.8bn	$1.70bn	25%
Base: category leader, growth slows from 100% to about 25%	**$3.5bn**	**6x**	**$21.0bn**	**$7.43bn**	**50%**
Bull: the default way to build software	$7.0bn	9x	$63.0bn	$22.28bn	25%
Probability-weighted value				**$9.71bn**	**100%**

Our base case lifts revenue from about $420m in 2026 to $3.5bn in 2031, a compound rate of 53% a year. For scale, $3.5bn is about half of Atlassian's revenue today. The 6x exit multiple is the median of the peers, which fits a company then growing 25%. The bull case assumes Lovable passes $7bn and is valued like Datadog, at 9x. At the round price, the base case implies an annual return of only 7%.

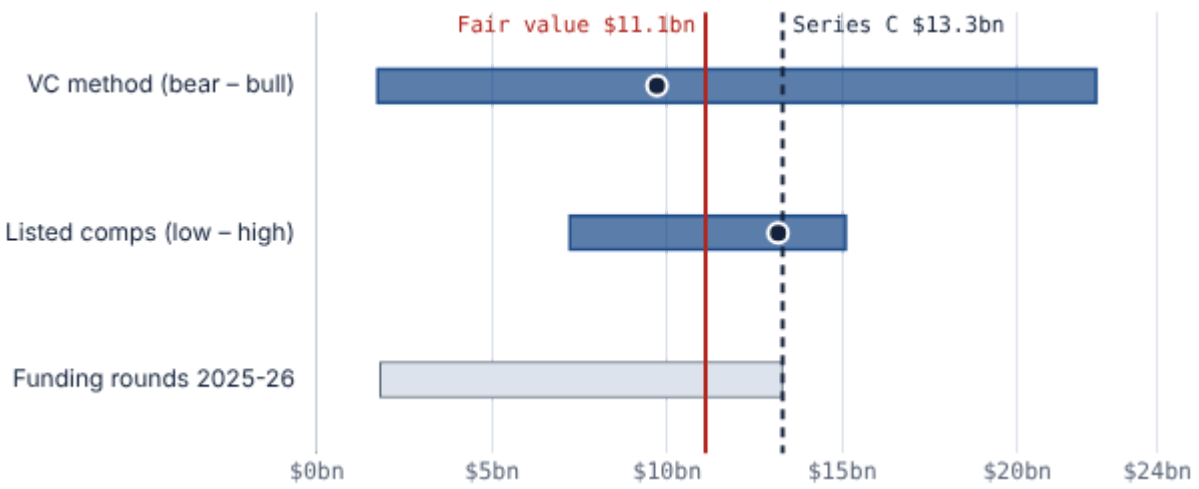
Exhibit 4 **Sensitivity of the base case ($bn) to required return and exit multiple**

RETURN \ EXIT EV/SALES	4X	5X	6X	7X	8X
15.0%	6.13	7.66	9.19	10.72	12.25
17.5%	5.50	6.88	8.25	9.63	11.00
20.0%	4.95	6.19	**7.43**	8.66	9.90
22.5%	4.47	5.58	6.70	7.82	8.93
25.0%	4.04	5.05	6.06	7.07	8.07

No cell of the base case reaches the $13.3bn round price. At 20% and 6x, revenue would need to reach about $6.3bn in 2031 to justify the round. The same table at $7bn of revenue is double these values.

07 Fair value and verdict

Exhibit 5 **Value range by method ($bn)**



Bars: low to high. Dot: central value. Dashed line: Series C $13.3bn. Solid line: our fair value $11.1bn.

METHOD	CENTRAL	WEIGHT	LOW	HIGH
VC method (probability-weighted)	$9.71bn	60%	$1.70bn	$22.28bn
Listed comparables (EV/Sales)	$13.17bn	40%	$7.19bn	$15.13bn
Fair value	**$11.1bn**	**100%**		

The weighted result is $11.09bn, which we round to $11.1bn. The two methods are 36% apart, and the comparables method gives the higher value only because it uses a top-quartile multiple. The gap to the round, 17%, is only just beyond our 15% threshold for a Stretched verdict. The round price lies inside both ranges, so the investors are not paying an impossible price. They are paying for the upper half of the outcomes.

> VERDICT · STRETCHED · FAIR VALUE $11.1BN
>
> Our fair value is 17% below the Series C price. This is a mild stretch, not a bubble call: the company is growing very fast and our bull case is worth well above the round. What the price leaves out is a margin of safety against the frontier labs that supply Lovable's own models. We would move to Full if the company showed a gross margin above 60% and a run-rate near $1bn by mid-2027, ahead of our estimate of $1.3bn at the end of 2027.

08 Risks and catalysts

Risks

- **Supplier and rival:** Anthropic, OpenAI and Google sell the models and build competing tools.
- **Margins:** model costs rise with usage, and gross margin is not disclosed.
- **Churn:** many users are hobbyists, so a run-rate built on monthly plans can fall quickly.
- **Security:** a 2026 flaw exposed project data and the first response was poor (see below).
- **ESG:** our ESG score is 56/100 (Average), held back by the data-exposure incidents of February and April 2026 and by the lack of any sustainability report. The company says it holds SOC 2 Type II and ISO 27001 certification.

Catalysts

- **Year-end run-rate update,** against our $750m estimate.
- **Acquisitions:** the company has said it is looking for teams to buy.
- **Enterprise contracts,** on the Deutsche Telekom model.
- **IPO preparation:** the arrival of public-market investors and a finance chief.

Method and sources. Private-company valuation. Funding data from company announcements and press; run-rate from company statements as reported by the press; revenue 2026E and all scenarios are Puccetti Capital Research estimates. Listed comparables from StockAnalysis.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Lovable. Not investment advice.

1. Tech.eu (Series C) · The Next Web (Series C) · Dealroom (round, run-rate) · Sifted (Series C)
2. The Next Web (HumanX, $600m) · SaaS City (run-rate history, prices) · Siècle Digital (600 million) · AI Funding (timeline)
3. Comparables: Cloudflare · Datadog · Atlassian · GitLab · Figma · Wix
4. ESG: Lovable (trust centre) · Lovable (security) · The Register (April incident) · The Register (February incident)